EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Tuao is a 1st class municipality situated in the western part of Cagayan Valley, called the Itawes Region and composed of 32 barangays. The Municipality, which is under the third Congressional District of Cagayan, has a population of 57,154 people according to the 2007 National Statistics Office census. The recorded history of Tuao began in 1604 when founded by the Spanish Civil Government.

For CY 2021, the Municipality of Tuao had a total of 486 personnel complement, consisting of 75 permanent, 2 temporary, 12 elective, 7 co-terminus, 25 casual, 6 contract of service and 359 job order status.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Tuao, Cagayan for CY 2021 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

	2021	2020	Increase (Decrease)
Financial Position			
Total Assets	726,167,377.87	623,353,980.78	102,813,397.09
Total Liabilities	95,633,036.24	101,001,160.82	(5,368,124.58)
Total Government Equity	630,534,341.63	522,352,819.96	108,181,521.67
Financial Performance			
Total Income	284,781,322.73	287,350,895.98	(2,569,573.25)
Total Expenses	179,335,606.32	190,827,008.64	(11,491,402.32)
Appropriations, Allotments and Obligations			
Total Appropriations – Current	296,658,684.77	318,799,044.50	(22,140,359.73)
Total Obligations – Current	169,142,570.11	172,717,247.23	(3,574,677.12)
Total Appropriations – Continuing	150,235,016.85	78,650,901.67	71,584,115.18
Total Obligations - Continuing	71,517,976.53	38,810,405.84	32,707,570.69

The table below presents the fund transfers received by the Municipality from other agencies totaling P92,405,454.39, with comparative figures for CY 2020. There were no funds transferred to other agencies during the year.

	2021	2020	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	65,705,454.39	162,888,675.68	(97,183,221.29)
Local Government Units	1,700,000.00	2,000,000.00	(300,000.00)
Others	25,000,000.00	200,000.00	24,800,000.00
Total	**92,405,454.39**	**165,088,675.68**	**(72,683,221.29)**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Tuao for the year ended December 31, 2021 due to deviations from prescribed procedures and non-compliance with rules and regulations resulting in accounting deficiencies, thus, affecting the financial statements.

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations:

1. **The Accounting Unit did not prepare and maintain subsidiary ledgers to support the account balance of Due to LGUs amounting to P35,254,526.37 as of December 31, 2021, thus affecting the fair presentation of the said account in the financial statements, contrary to Sections 111 and 114 of Presidential Decree No. 1445.**

   We recommended that the Municipal Accountant:

   a. Exert extra effort in determining the details of the Due to LGUs account in the amount of P35,254,526.37 by segregating those accounts that pertain to his period with those amounts that were only carried over from his predecessor for easy establishment of its subsidiary ledgers; and

   b. Continuously update each account's ledger to ensure proper accounting thereof.

2. **Funds transfers from various government agencies totalling to P737,982.83 remained outstanding in the books and were not supported**

with subsidiary ledgers, contrary to Section 114 of PD 1445 and COA Circular No. 94-013 dated December 13, 1994.
We recommended that Management require the Municipal Accountant to locate records/documents pertaining to the receipt and liquidation of fund transfer in order to determine the specific source agency which will be the basis for reconciliation thereof.

3. **The GSO was not able to prepare the Report on the Physical Count of Property, Plant and Equipment as of December 31, 2021 due to non-completion of physical count of building, improvements, public infrastructures and other properties which is not in keeping with Section 66 of the Manual on the New Government Accounting System for LGUs and COA Circular 2020-006 dated January 31, 2020, thus the accuracy of the PPE account in the financial statements amounting to P316,705,021.90 cannot be verified.**

   We recommended that Management:

   a. Instruct the Inventory Team/Committee to complete the conduct of physical count of buildings, improvements, public infrastructures and other properties in order to finalize the preparation of the RPCPPE pursuant to Section 66 of the Manual on the New Government Accounting System; and

   b. Hire job order personnel, if necessary, to assist in the conduct of physical count of PPE for a speedy accomplishment and submission of the RPCPPE.

4. **The Construction in Progress-Infrastructure Assets account as of December 31, 2021 is overstated due to inclusion of the cost of completed projects totalling to P57,198,619.15, thus affecting the fairness of presentation of the account in the Statement of Financial Position as of December 31, 2021.**

   We recommended that Management:

   a. Instruct the Municipal Accountant to make the necessary adjusting entries for the reclassification of Construction in Progress-Infrastructure Assets in the amount of P57,198,619.15 to the appropriate PPE accounts and review the CIP accounts so that all completed projects should be transferred to appropriate PPE accounts; and

   b. Require the Engineering Office to submit a quarterly Status Report of Projects to the Municipal Accountant as a basis in the preparation of the Journal Entry Voucher (JEV) to record the transfer of completed projects for the CIP-Infrastructure Assets to the appropriate PPE accounts.

5. **Disbursements of eleven completed projects for CY 2021 totalling to P59,687,305.66 lack the necessary documentary requirements prescribed under Item 3.1.2 of COA Circular No. 2009 -001 dated February 12, 2009, thus, the propriety and validity of the payments could not be ascertained.**

   We recommended that Management submit the lacking documents of the completed projects in the total amount of P59,687,305.66 and ensure that all payments to contractors for the implementation of infrastructure projects be supported with the documentary requirements prescribed under COA Circular No. 2009 -001 dated February 12, 2009.

E. Summary of Total Suspensions, Disallowances and Charges

There were no Notices of Suspension, Disallowance or Charge issued to the Municipality.

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2020 Annual Audit Report are summarized as follows:

Implemented		43
Not Implemented	9	
Not Implemented and Reiterated in CY 2021 AAR	11	20
Total		**63**